
Competitive Advantage and Strategic Information Systems



Definition

- **A competitive strategy:** is a statement that identifies a business's strategies to compete, its goals, and the plans and policies that will be required to carry out those goals.
- **A competitive advantage:** organization seeks to outperform its competitors in some measure such as cost, quality, or speed.
 - helps a company control a market and generate larger-than-average profits.



Strategic information systems (SISs)

- SISs : Information system that helps an organization gain a competitive advantage, or reduce a competitive disadvantage.
- SISs provide a competitive advantage by helping an organization implement its strategic goals and increase its performance and productivity



Competitive Forces Model

- The best-known framework for analyzing competitiveness is ***Michael Porter's competitive forces model*** (Porter, 1985).
- Companies use Porter's model to:
 - develop strategies to increase their competitive edge.
 - demonstrates how IT can make a company more competitive.



Porter's Competitive Forces Model

- Identifies five major forces that could either endanger or enhance a company's position in a given industry.
1. The threat of entry of new competitors.
 2. The bargaining power of suppliers.
 3. The bargaining power of customers (buyers).
 4. The threat of substitute products or services.
 5. The rivalry among existing firms in the industry.



1. The threat of entry of new competitors.

- The threat of new competitor entry is high when it is easy to enter your market and low when significant barriers to entry exist.
- ***An entry barrier*** is a product or service feature that customers have learned to expect from organizations in a certain industry.
- This feature must be offered by a competing organization for it to survive in the marketplace.
- The internet impact????
- The Web increases the threat that new competitors will enter the market by sharply reducing traditional barriers to entry, such as the need for a sales force or a physical storefront to sell goods and services.



2. The bargaining power of suppliers.

- Supplier power is high when buyers have few choices from whom to buy and low when buyers have many choices.
- The internet impact???



3. The bargaining power of customers (buyers).

- Buyer power is high when buyers have many choices from whom to buy and low when buyers have few choices.
- The Internet greatly increases customers' bargaining power.



4. The threat of substitute products or services.

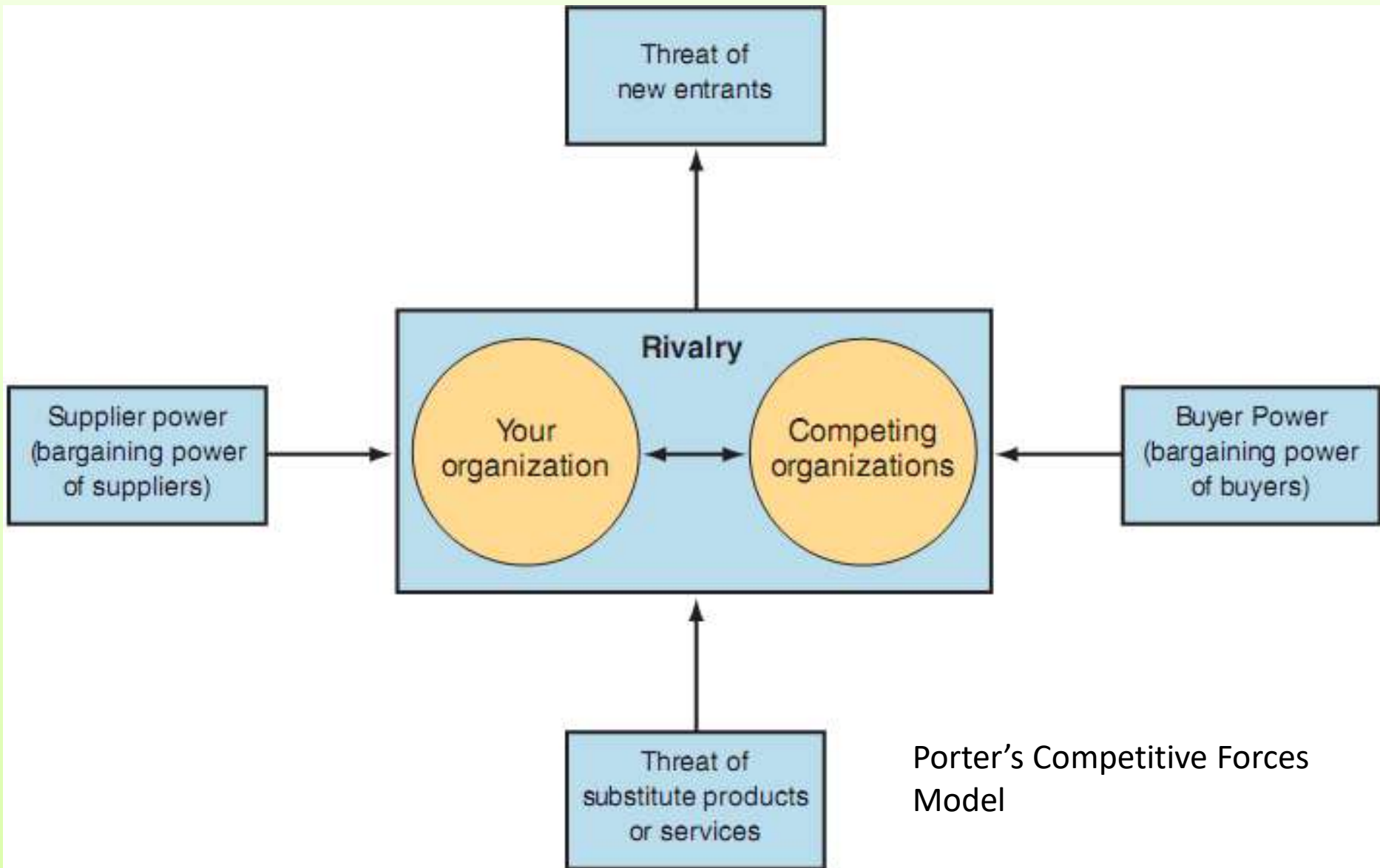
- If there are many substitutes for an organization's products or services, then the threat of substitutes is high.
- If there are few substitutes, then the threat is low.
- Information-based industries are in the greatest danger from substitutes.



The rivalry among existing firms in the industry.

- The threat from rivalry is high when there is intense competition among many firms in an industry.
- The threat is low when the competition is among fewer firms and is not as intense.





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- A proprietary system : Systems that belong exclusively to a single organization
 - The visibility of Internet applications on the Web makes proprietary systems more difficult to keep secret.
 - ***What will you do when you see your competitor's new system online ???***



Competition Affect

- Internet based System : changing the nature of competition
- Industry Structure : “click and mortar” firm
- Low variable cost of digital product



Porter's Value Chain Model

- Value chain model :
 - to identify specific activities where they can use competitive strategies for greatest impact.
 - shows points where an organization can use information technology to achieve competitive advantage
- The activities divided into two categories:
 - Primary activities
 - Support activities



Primary activity

- Business activities that relate to the production and distribution of the firm's products and services.
- Creating value for which customers are willing to pay.
- Involve purchasing materials, processing materials into products, and delivering products to customers.



Primary Activities :

1. Inbound logistics (inputs)
2. Operations (manufacturing and testing)
3. Outbound logistics (storage and distribution)
4. Marketing and sales
5. Services



Support Activity

- Contribute to the firm's competitive advantage by supporting the primary activities.
- Support activities consist of:
 1. The firm's infrastructure (accounting, finance, management)
 2. Human resources management
 3. Product and technology development
 4. Procurement



Value System

- A firm's value chain is part of a larger stream of activities : Value system.
- A value system, or an industry value chain, includes:
 - The suppliers
 - The distributors
 - The customers



Porter's Value Chain Model



Strategies for Competitive Advantage

1. ***Cost leadership strategy***: Produce products and/or services at the lowest cost in the industry
2. ***Differentiation strategy***: Offer different products, services, or product features.
3. ***Innovation strategy*** : Introduce new products and services, add new features to existing products and services, or develop new ways to produce them.
4. ***Operational effectiveness strategy*** : Improve the manner in which internal business processes are executed so that a firm performs similar activities better than its rivals.
5. ***Customer-orientation strategy***: Concentrate on making customers happy.



Why Are Information Systems So Important to organization?

- IT Will Reduce the Number of Middle Managers
- IT Will Change the Manager's Job
- Will My Job Be Eliminated?
- IT Impacts Employees at Work
- IT Impacts Employees' Health and Safety
- IT Provides Opportunities for People with Disabilities
- IT Provides Quality-of-Life Improvements



What's in IT for each Department?

-  For the Accounting Major?
-  For the Finance Major?
-  For the Marketing Major?
-  For the Production/Operations Management Major
-  For the Human Resources Management Major?
-  For the MIS Major?

